HCJDA-38

JUDGMENT SHEET

IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

ICA No. 221755 of 2018

Qasim Ali

Versus

Federation of Pakistan and 02 Others

JUDGMENT

Dates of hearings	*15.09.2025 and 01.10.2025*
Appellant by	*M/s Muqtadar Akhtar Shabbir and Subhan Ali, learned Advocates*
Respondents No. 1 and 2 by	*Mr. Tahir Mahmood Ahmad Khokhar, learned Deputy Attorney General for Pakistan*
Respondent No. 3 by	*Mr. Rehan Nawaz, learned Advocate*

This Intra Court Appeal is directed against order dated 03.04.2018 passed by the learned Judge-in-Chambers, whereby, constitution petition No. 1553-2015 filed by the present appellant was dismissed being devoid of merits.

2. The appellant is seeking to declare Rule 15 of the Prize Bond Rules-1999 issued vide S.R.O. No. 1070 (I)/99 dated 22.09.1999 (the ***'Rules of 1999'***) as *ultra vires*, *inter alia*, on the ground that the same is inconsistent with sections 23 and 24 of the Public Debt Act-1944 (the ***'Act'***).

3. Mr. Muqtadar Akhtar Shabbir, learned counsel for the appellant has stated that section 23 of the *Act* places compulsion on the Government of Pakistan to discharge its liability by making payment of prize bonds to its holder on presentation and no condition on the claim can be imposed. He has further submitted that the *Act* is silent as to

prescribing any limitation, therefore, providing the period of claim through the *Rules of 1999* is liable to be struck down.

4. Mr. Rehan Nawaz, learned counsel for respondent No. 3 has relied upon case titled "*Director General, National Savings, Islamabad vs. Balqees Begum and others*" (**PLD 2013 Supreme Court 174**) and he stated that the Honourable Supreme Court of Pakistan has already disagreed with the view adopted by this Court in the similar matter, whereby, this Court extended time period prescribed in the *Rules of 1999*.

5. Mr. Tahir Mahmood Ahmad Khokhar, learned Deputy Attorney General for Pakistan has appeared in response to notice issued under Order XXVIIA of the Code of Civil Procedure-1908 and argued that there is no inconsistency between the *Act* and the rules, therefore, prayer of striking down rule 15 of the *Rules of 1999* is against the settled principle.

6. We have heard the learned counsel for the parties and gone through the record with their able assistance.

7. The appellant is bearer of prize bond No. D433992 having face value of Rs.1500/-, which was issued by the State Bank of Pakistan on 25.11.1999 and prize money of Rs.1,000,000/- (rupees one million only) was declared in the prize list on 15.08.2003. The appellant failed to claim the same for almost a decade and then approached the State Bank of Pakistan with his request, which was declined vide letter dated 28.08.2014. Rule 2 of *Rules of 1999* defines "prize bond" as a security issued by Federal Government in exercise of powers conferred by sub-clause (iv) of clause (a), sub-section (2) of section 2 of the *Act*. This part of the *Act* reads as under:-

"2. *In this Act, unless there is anything repugnant in the subject or context,__*

(1) ...

(1A) ...

(2) *"Government security" means__*

(a) *a security, created and issued, whether before or after the commencement of this Act, by Government for the purpose of raising a public loan, <u>and having one of the following forms, namely</u>:-*

(i) ...

(ii) ...

(iii) *...or*

(iv) *a <u>form prescribed</u> in this behalf or notified by Government from time to time;"*

(Underlining is added)

8. The Government security, *inter alia*, means security for purpose of raising public loan, having one of the 'forms' provided in section 2(2) of the *Act*. This includes a "form prescribed" in this behalf or notified by the Government from time to time. The word "prescribed" has also been defined in the *Act* itself as <u>prescribed by the rules made under the Act</u>. In pursuance thereof *Rules of 1999* have been framed, prescribing the form in which the bonds are ought to be issued and while prescribing the same in rule-15 it has been made incumbent upon the holder of a prize bond to make a claim at any time within a period of six years from the date of the relative draw failing which the liability of the prize money stands terminated. This rule reads as under:-

"*15. Prize money may be claimed by the holder of a prize Bond* ***at any time within a period of six years from the date of the relative draw*** *and* ***after the expiry of*** *that period the* ***liability of the Federal Government to pay the prize***

> ***money shall terminate** and **no such claim shall be entertained** unless any other period of limitation is fixed by any law for the time being in force.*"
>
> (*Emphasis supplied)*

Section 28 of the *Act* also empowers the Government, subject to the condition of previous publication by notification in official gazette, to make rules to carry out the purpose of the *Act*.

9. The criterion on the basis of which subordinate legislative instrument can be struck down, time and again, has been laid down by the Honourable Supreme Court of Pakistan in several cases including *Suo Motu Case No. 13 of 2009* as well as in case titled "*Shaukat Mahmood vs. Election Commission of Pakistan (ECP) through Secretary ECP, Islamabad and others*" (**PLD 2024 Supreme Court 653**) and now there is no cavil left to the proposition that to strike down such legislative instrument the movant has to demonstrate that (i) the same is against the rights guaranteed by the Constitution or it is in conflict with constitutional provisions, (ii) it is beyond the competence of the delegatee or (iii) it is violative of the scope of the statute itself.

10. In case titled "*Mehraj Flour Mills v. Provincial Government*" (**2001 SCMR 1806**), the Supreme Court of Pakistan while observing that no rule can militate or render the provisions of the Act ineffective has also laid down the test of consistency in the following manner:-

> "*…There is no cavil with the proposition that the rule shall always be consistent with the Act and no rule shall militate or render the provisions of the Act ineffective. The test of consistency is whether the provisions of the Act and that of the rules can stand together. Main object of rules is to implement the provisions of the Act and in case of*

> *conflict between them the rule must give way to the provisions of the Act. In any case, the rules shall not be repugnant to the enactment under which they are made…*"

(Underlining is added)

11. The *Act* itself permits the Government to issue a form in manners "prescribed" through the rule. The form / prize bond is prescribed in the *Rules of 1999* with the condition challenged by the appellant. Learned counsel for the appellant could not demonstrate if the rule-15 militate the provisions of the *Act*. Mr. Rehan Nawaz, learned counsel for respondent No. 3 has also made a correct reference to "*Balqees Begum and others"* case ***(supra),*** wherein, the Honourable Supreme Court has observed that the wisdom behind the cut-off period given in rule 15 of the *Rules of 1999,* which is now under challenge before us. The relevant extract reads:-

> "*…There seems a wisdom for such a cut off period, as the Government cannot be left in a state of limbo, oblivion and conundrum awaiting for such claims for an indefinite period to satisfy hundreds and thousands of prize holders who were delinquent in coming forward within the prescribed period…*"

12. For what has been discussed above, we are of the view that order dated 03.04.2018 passed by the learned Judge-in-Chambers requires no intervention. This appeal, therefore, is ***dismissed***. No order as to costs.

(CH. SULTAN MAHMOOD)
JUDGE

(SULTAN TANVIR AHMAD)
JUDGE

Approved for reporting

JUDGE ***JUDGE***

Rana Zahid Bashir